

JNJ: bull vs bear

Equity research from SEC filings. Every number below was verified against the company's filed XBRL data before it was accepted.

Model	gemini-2.5-flash
Retrieval chunker	fixed
Fiscal years	FY2025 vs FY2024
Run date	2026-09-23
Conversation id	3c513358e0b04aec
Runtime	188.084s
Tokens (in / out)	91,290 / 34,754
Bull claims	6 kept, 0 removed
Bear claims	6 kept, 0 removed

Bull case

1. JNJ's financial performance in fiscal 2025 included revenue increasing by 6.05% to \$94,193 million and net income rising to \$26,804 million from \$14,066 million in fiscal 2024. [C1] [F1] [F3] [F4]
2. The company's profitability in fiscal 2025 included the pretax income margin increasing by +15.80 percentage points to 34.59% and the net income margin rising by +12.62 percentage points to 28.46%. [C17] [C4] [C18] [C6]
3. JNJ's return on equity was 35.03% in fiscal 2025, an increase from 20.06% in fiscal 2024, indicating efficient use of shareholder capital. [C14] [C15]
4. Significant investment of \$14.7 billion in research and development in 2025 drives innovation, and new products introduced within the past five years contributed approximately 25% of 2025 sales. [P3] [P4]
5. In fiscal 2025, the Innovative Medicine segment reported sales of \$60,401 million and the MedTech segment reported sales of \$33,792 million, with both segments showing increased segment income before tax as a percentage of sales. [P14] [P13]
6. Based on a two-stage Discounted Cash Flow valuation using fiscal 2025 free cash flow, JNJ has an equity value of \$139.89 per share, reflecting its future cash generation potential. [C19]

Bear case

1. JNJ's gross profit margin declined by -1.19 percentage points in fiscal 2025, reaching 67.88% from 69.07% in fiscal 2024. [C16] [C2] [C3]
2. Free cash flow decreased slightly from \$19,842 million in fiscal 2024 to \$19,698 million in fiscal 2025. [C9] [C8]
3. The company's current ratio decreased to 102.77% in fiscal 2025 from 111.07% in fiscal 2024, while debt to equity increased to 50.82% in fiscal 2025 from 45.32% in fiscal 2024. [C10] [C11] [C12] [C13]
4. The significant increase in net income and pretax income margins in fiscal 2025 was substantially influenced by the reversal of approximately \$7.0 billion of the previously accrued talc reserve, which is a non-recurring event. [P12] [P13]
5. JNJ faces ongoing risks from biosimilar competition for key products like STELARA, which negatively impacted sales in fiscal 2025, and uncertainty surrounding the planned separation of its Orthopaedics business, including potential costs and stock price volatility. [P1] [P5] [P7]
6. The company is exposed to intense competition in R&D and product performance, as well as significant risks from product efficacy/safety concerns, litigation, regulatory scrutiny, and pricing pressures. [P6] [P10]

Critic log

Every numeric figure is checked in Python against the evidence it cites (value, scale and fiscal year); qualitative statements are checked against the cited 10-K passages. Failed claims go back to their author; claims still failing after the last revision are removed.

Side	Round	Passed	Failed
bull	0	2	4
bull	1	5	1
bull	2	6	0
bear	0	6	0

Bull, round 0: rejected claims

- JNJ demonstrated robust financial performance in fiscal 2025, with revenue increasing by 6.05% to \$94,193 million and net income significantly rising to \$26,804 million from \$14,066 million in fiscal 2024.
unsupported: The claim that JNJ demonstrated 'robust financial performance' is a subjective judgment not explicitly stated in the provided figures or passages, nor is it a standard interpretation by definition. While the figures show growth, the qualitative assessment of 'robust' is unsupported.
- JNJ delivered an impressive return on equity of 35.03% in fiscal 2025, a notable increase from 20.06% in fiscal 2024, indicating efficient use of shareholder capital.
unsupported: While the claim accurately reports the return on equity figures and their increase, and 'indicating efficient use of shareholder capital' is a standard interpretation of ROE, the term 'impressive return on equity' is a subjective judgment not explicitly stated or a standard interpretation by definition.
- The company's commitment to innovation is a key growth driver, with new products introduced within the past five years accounting for approximately 25% of 2025 sales and a significant investment of \$14.7 billion in research and development in 2025.
unsupported: The claim that 'The company's commitment to innovation is a key growth driver' is a statement about causation that is not explicitly stated as a 'key growth driver' for the reported growth in the provided passages. Additionally, describing the investment as 'significant' is a subjective judgment not explicitly stated in the passages.
- Both the Innovative Medicine and MedTech segments exhibited strong performance in fiscal 2025, with Innovative Medicine sales reaching \$60,401 million and MedTech sales reaching \$33,792 million, both showing increased

segment income before tax as a percentage of sales.

unsupported: While the claim accurately reports the sales figures and the increase in segment income before tax as a percentage of sales for both segments, the assertion that they 'exhibited strong performance' is a subjective judgment not explicitly stated in the provided passages.

Bull, round 1: rejected claims

- Significant investment of \$14.7 billion in research and development in 2025 drives innovation, and new products introduced within the past five years contributed approximately 25% of 2025 sales, both of which are listed as main growth drivers.

unsupported: While the passages confirm the investment in R&D and the contribution of new products to sales, and imply their importance for innovation and sustaining revenue, they do not explicitly state that these are 'listed as main growth drivers'. The claim asserts a specific 'listing' that is not present in the provided text.

Sources

F = XBRL fact as filed, C = deterministic calculation (inputs listed), P = retrieved 10-K passage.

ID	Evidence	Source
C1	revenue_yoy_growth FY2025: 6.05%	(revenue FY2025 - FY2024) / FY2024 ; inputs: RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2025-12-28; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2024-12-29
F1	revenue FY2025: \$94,193 million	RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2025-12-28
F3	net_income FY2025: \$26,804 million	NetIncomeLoss [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2025-12-28
F4	net_income FY2024: \$14,066 million	NetIncomeLoss [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2024-12-29
C17	pretax_income_margin_change FY2025: +15.80 percentage points	pretax_income_margin FY2025 - FY2024; inputs: IncomeLossFromContinuingOperationsBeforeIncomeTaxesExtraordinaryItemsNoncontrollingInterest [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2025-12-28; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2025-12-28; IncomeLossFromContinuingOperationsBeforeIncomeTaxesExtraordinaryItemsNoncontrollingInterest [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2024-12-29; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2024-12-29
C4	pretax_income_margin FY2025: 34.59%	pretax_income / revenue (FY2025); inputs: IncomeLossFromContinuingOperationsBeforeIncomeTaxesExtraordinaryItemsNoncontrollingInterest [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2025-12-28; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2025-12-28

ID	Evidence	Source
C18	net_income_margin_change FY2025: +12.62 percentage points	net_income_margin FY2025 - FY2024; inputs: NetIncomeLoss [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2025-12-28; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2025-12-28; NetIncomeLoss [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2024-12-29; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2024-12-29
C6	net_income_margin FY2025: 28.46%	net_income / revenue (FY2025); inputs: NetIncomeLoss [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2025-12-28; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2025-12-28
C14	return_on_equity FY2025: 35.03%	net_income FY2025 / avg(shareholders_equity FY2024, FY2025); inputs: NetIncomeLoss [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2025-12-28; StockholdersEquityIncludingPortionAttributableToNoncontrollingInterest [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2025-12-28; StockholdersEquityIncludingPortionAttributableToNoncontrollingInterest [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2024-12-29
C15	return_on_equity FY2024: 20.06%	net_income FY2024 / avg(shareholders_equity FY2023, FY2024); inputs: NetIncomeLoss [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2024-12-29; StockholdersEquityIncludingPortionAttributableToNoncontrollingInterest [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2024-12-29; StockholdersEquityIncludingPortionAttributableToNoncontrollingInterest [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2023-12-31
P3	Item 7 passage is uniquely positioned to innovate across the full spectrum of healthcare solutions today to deliver the breakthroughs of tomorrow, and profoundly impact health for humanity. New products introduced within the past five years accounted for approximately 25% of 2025 sales. In 2025, \$14.7 billion was invested in research and development reflecting management's commitment to create life-enhancing inn...	JNJ 10-K accn 0000200406-26-000016 (period 2025-12-28), Item 7, fixed-0055
P4	Item 1A passage develop new and differentiated products and services that address the evolving healthcare needs of patients, providers and consumers. Development of successful products and technologies is also necessary to offset revenue losses when the Company's existing products lose market share due to various factors such as competition and loss of patent exclusivity. New products introduced within the past f...	JNJ 10-K accn 0000200406-26-000016 (period 2025-12-28), Item 1A, fixed-0036
P14	Item 8 passage 1,413 1,370 10.2 3.2 TOTAL MEDTECH U.S. 17,408 16,332 15,275 6.6 6.9 International 16,384 15,525 15,125 5.5 2.6 Worldwide 33,792 31,857 30,400 6.1 4.8 WORLDWIDE U.S. 53,752 50,302 46,444 6.9 8.3 International 40,441 38,519 38,715 5.0 (0.5) Worldwide \$ 94,193 88,821 85,159 6.0% 4.3 * percentage greater than 100% or not meaningful (1)...	JNJ 10-K accn 0000200406-26-000016 (period 2025-12-28), Item 8, fixed-0158

ID	Evidence	Source
P13	Item 7 passage 12.2 11.7 Segment earnings before tax (1) 26,379 22,659 94,193 88,821 28.0 25.5 (Income) Expenses not allocated to segments (2) (6,202) 5,972 Worldwide income before tax \$32,581 16,687 94,193 88,821 34.6% 18.8 (1) See Note 17 to the Consolidated Financial Statements for more details. (2) Amounts not allocated to segments include interest (income) expense and general...	JNJ 10-K accn 0000200406-26-000016 (period 2025-12-28), Item 7, fixed-0069
C19	dcf_value_per_share FY2025: \$139.89 per share	(PV of 5y FCF at g=0.0605 + PV terminal at g=0.025, r=0.09) + cash - debt, / diluted_shares (base FY2025); inputs: NetCashProvidedByUsedInOperatingActivities [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2025-12-28; PaymentsToAcquirePropertyPlantAndEquipment [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2025-12-28; CashAndCashEquivalentsAtCarryingValue [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2025-12-28; LongTermDebt [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2025-12-28; WeightedAverageNumberOfDilutedSharesOutstanding [shares] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2025-12-28
C16	gross_profit_margin_change FY2025: -1.19 percentage points	gross_profit_margin FY2025 - FY2024; inputs: GrossProfit [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2025-12-28; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2025-12-28; GrossProfit [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2024-12-29; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2024-12-29
C2	gross_profit_margin FY2025: 67.88%	gross_profit / revenue (FY2025); inputs: GrossProfit [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2025-12-28; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2025-12-28
C3	gross_profit_margin FY2024: 69.07%	gross_profit / revenue (FY2024); inputs: GrossProfit [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2024-12-29; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2024-12-29
C9	free_cash_flow FY2024: \$19,842 million	operating_cash_flow - capex (FY2024); inputs: NetCashProvidedByUsedInOperatingActivities [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2024-12-29; PaymentsToAcquirePropertyPlantAndEquipment [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2024-12-29
C8	free_cash_flow FY2025: \$19,698 million	operating_cash_flow - capex (FY2025); inputs: NetCashProvidedByUsedInOperatingActivities [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2025-12-28; PaymentsToAcquirePropertyPlantAndEquipment [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2025-12-28
C10	current_ratio FY2025: 102.77%	current_assets / current_liabilities (FY2025); inputs: AssetsCurrent [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2025-12-28; LiabilitiesCurrent [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2025-12-28

ID	Evidence	Source
C11	current_ratio FY2024: 111.07%	current_assets / current_liabilities (FY2024); inputs: AssetsCurrent [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2024-12-29; LiabilitiesCurrent [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2024-12-29
C12	debt_to_equity FY2025: 50.82%	long_term_debt / shareholders_equity (FY2025); inputs: LongTermDebt [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2025-12-28; StockholdersEquityIncludingPortionAttributableToNoncontrollingInterest [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2025-12-28
C13	debt_to_equity FY2024: 45.32%	long_term_debt / shareholders_equity (FY2024); inputs: LongTermDebt [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2024-12-29; StockholdersEquityIncludingPortionAttributableToNoncontrollingInterest [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2024-12-29
P12	Item 8 passage for both segments that represented approximately 21.8 %, 15.5 % and 11.1 % of the total gross revenues. In fiscal year 2024, the Company had three wholesalers distributing products for both segments that represented approximately 20.5 %, 15.6 % and 12.3 % of the total gross revenues. In fiscal year 2023, the Company had three wholesalers distributing products for both segments that represented app...	JNJ 10-K accn 0000200406-26-000016 (period 2025-12-28), Item 8, fixed-0160
P1	Item 7 passage impact of acquisitions and divestitures on the worldwide sales growth was a positive impact of 1.1% in 2025, primarily related to CAPLYTA and Shockwave and a positive impact of 0.5% in 2024 primarily related to Shockwave. Sales by U.S. companies were \$53.8 billion in 2025 and \$50.3 billion in 2024. This represents increases of 6.9% in 2025 and 8.3% in 2024. In the fiscal year 2025, acquisitions an...	JNJ 10-K accn 0000200406-26-000016 (period 2025-12-28), Item 7, fixed-0056
P5	Item 7 passage to favorable patient mix, market growth and the Merck, Sharp & Dohme return of rights in Europe in the fiscal fourth quarter of 2024, partially offset by continued biosimilar competition. Sales of STELARA in the United States were approximately \$3.8 billion in fiscal 2025. Third parties have filed biologics license applications with the U.S. FDA, the European Medicines Agency, and other government...	JNJ 10-K accn 0000200406-26-000016 (period 2025-12-28), Item 7, fixed-0060
P7	Item 1A passage expected results In October 2025, the Company announced its intention to separate the Company's Orthopaedics business. The Company is targeting completion of the planned separation in 18 to 24 months after initial announcement. Completion of the planned separation will be subject to the satisfaction of certain conditions, including, among others, consultations with works councils and other employe...	JNJ 10-K accn 0000200406-26-000016 (period 2025-12-28), Item 1A, fixed-0042

ID	Evidence	Source
P6	Front passage Office and other decision makers to such challenges, potentially resulting in loss of market exclusivity and rapid decline in sales for the relevant product sooner than expected; - Competition in research and development of new and improved products, processes and technologies, which can result in product and process obsolescence; - Competition to reach agreement with third parties for collaborati...	JNJ 10-K accn 0000200406-26-000016 (period 2025-12-28), Front, fixed-0005
P10	Front passage agencies, which could result in significant sanctions; - Potential changes to applicable laws and regulations affecting United States and international operations, including relating to: approval of new products; licensing and patent rights; sales and promotion of healthcare products; access to, and reimbursement and pricing for, healthcare products and services; environmental protection; and sour...	JNJ 10-K accn 0000200406-26-000016 (period 2025-12-28), Front, fixed-0006